

Schedule A — Sales Manager Compensation and KPI Plan

Draft — owner approval and legal review required

1. Base compensation

- Base salary: **\$5,000 CAD gross per month**, paid through payroll, for a total scheduled base salary of **\$15,000 CAD over the initial three-month fixed term**.
- Employment and the initial three-month term begin on the **Effective Date**, defined as the date on which the last of 1APP Technologies Inc. and Rod Norville signs the Employment Agreement.
- First base-salary payment: **October 1, 2026**, covering the period from the Effective Date through September 30, 2026 and lawfully prorated if that is less than a full semi-monthly pay period.
- After the initial payment, regular pay dates are **the 1st and 15th of each month**, with a scheduled full semi-monthly base payment of **\$2,500 CAD gross**, subject to lawful proration, deductions, vacation-pay treatment, and payroll adjustments.
- If the 1st or 15th is not a banking or payroll business day, payment is made on the Company's next lawful payroll business day.
- Statutory deductions, vacation, public holidays, and other minimum employment standards apply.
- The base salary pays for management, recruiting, training, coaching, reporting, CRM administration, and sales leadership responsibilities. Those duties do not generate separate recruiting bonuses unless this schedule expressly says otherwise.

2. Commission model selected by the owners

Personal clients from Day 1 — 10% setup-fee commission plus 10% recurring commission

Beginning with Rod Norville's **first qualifying personally sourced and personally closed client**, Rod earns a **one-time commission equal to 10% of the net collected setup fee** actually received and cleared by 1APP for that client.

"Net collected setup fee" means setup-fee cash received, cleared, and retained by 1APP, excluding HST, refunds, credits, chargebacks, reimbursed expenses, usage pass-through, and third-party costs. If the approved setup fee is paid in installments, Rod earns 10% as each installment clears. No setup-fee commission is earned on an invoice or unpaid balance.

The setup-fee commission is one-time compensation. It does not recur or become a lifetime right, and it does not make a client paid-active or cause the client to count toward the production target. It is earned only if the applicable setup-fee payment clears during Rod's Commission Eligibility Period. Once earned on cleared revenue, the amount remains payable subject to applicable law and the final lawyer-reviewed agreement.

Personal recurring commission from Day 1 — 10%

Beginning with Rod Norville's **first qualifying personally sourced and personally closed Net-New Paid-Active Client**, Rod earns **10% of net collected monthly recurring service revenue** received and cleared during Rod's Commission Eligibility Period from that client.

"Paid-active month" means a month in which 1APP receives and clears the client's recurring service payment during Rod's Commission Eligibility Period. Commission is not earned for any month in which the client is cancelled, paused without payment, refunded, charged back, written off, otherwise not paid-active, or pays after Rod's Commission Eligibility Period ends, subject to applicable law.

The 10% recurring commission does not apply to HST, usage pass-through, reimbursed expenses, third-party costs, refunds, credits, or chargebacks.

Employment-dependent commission eligibility

All setup-fee commission, personal recurring commission, and direct-team override eligibility is employment-dependent. Reaching 20 qualifying production clients does not vest any lifetime or post-employment commission right.

Subject to applicable law, Rod's **Commission Eligibility Period** ends on his last day of active employment, including any additional period during which commission eligibility must continue under Ontario employment-standards legislation. Revenue received after that period does not generate a new setup-fee commission, recurring commission, or team override for Rod. Amounts earned before the Commission Eligibility Period ends remain payable on the next applicable pay date after reconciliation.

Direct-team override — 5%

Rod earns a **5% direct-team override** on net collected monthly recurring service revenue from a qualifying client personally sourced and personally closed by an eligible sales associate whom Rod directly recruited.

The override begins with the recruit's first qualifying paid-active client and is earned only after that client's 14-day trial is complete, paid continuation is authorized, and the applicable recurring payment clears during Rod's Commission Eligibility Period.

The 5% override does not apply to setup fees, HST, usage pass-through, reimbursed expenses, third-party costs, refunds, credits, or chargebacks. It applies one level deep to Rod's direct recruits only. It does not apply to a recruit of Rod's recruit.

Qualifying clients closed by Rod's eligible direct recruits count toward Rod's 20-client initial production target and, if adopted by a signed renewal, the 30-client Days 91–180 production target. Each client counts once only. Team production does not create a 10% personal commission for Rod; Rod receives only the applicable 5% direct-team override. The 5% override does not stack with Rod's 10% personal-client commission on the same client revenue. If attribution is disputed or split, the owners must approve the attribution in writing before commission is earned or production credit is counted.

The 5% team override is payable only on qualifying revenue received during Rod's Commission Eligibility Period while the applicable associate remains eligible, active, in good standing, and assigned to Rod's direct team. It does not vest or become a lifetime post-employment right.

Worked examples

Rod's personal client — setup and recurring: A personally sourced and closed client pays a \$1,000 net setup fee during Rod's Commission Eligibility Period. Rod earns a one-time \$100 setup-fee commission when that payment clears. After the 14-day trial, the client authorizes paid continuation and pays \$399 in net recurring service revenue during that period; Rod then earns \$39.90 in recurring commission. If both amounts clear in the same

reconciliation period, Rod earns \$139.90 for that period. The two amounts may be paid on different pay dates if they clear in different reconciliation periods.

Setup fee paid in installments: A \$1,000 approved net setup fee is paid in two \$500 installments. Rod earns \$50 when the first installment clears and \$50 when the second clears. He earns nothing on an installment until it clears.

Employment ends: A qualifying personal client pays \$399 in net recurring service revenue before Rod's Commission Eligibility Period ends, so Rod earns \$39.90. A later \$399 subscription payment received after the Commission Eligibility Period ends generates no new commission for Rod, subject to applicable law. The \$39.90 and any setup-fee commission already earned remain payable.

Rod's team reaches client 20: The twentieth qualifying production client may be Rod's personal client or a qualifying client closed by an eligible direct recruit. Reaching 20 satisfies the production count only; it does not change commission rates, create retroactive commission, or create a lifetime or post-employment payment right.

Direct recruit's client: A directly recruited eligible associate closes a qualifying client that pays a \$1,000 setup fee and \$399 in net recurring service revenue during Rod's Commission Eligibility Period. The associate's compensation is governed by the associate's own agreement. Rod earns no override on the setup fee and earns a \$19.95 team override for the cleared recurring payment while the override eligibility rules remain satisfied. That client counts once toward Rod's team-inclusive production target.

No double payment: If Rod is the credited personal source and closer, his applicable personal setup-fee and recurring commission rules apply and the 5% team override does not. If a direct recruit is the credited source and closer, the 5% recurring override may apply and Rod's personal 10% commissions do not.

3. When commission is earned

Subject to Ontario law and the final lawyer-reviewed agreement, the **personal setup-fee commission** is earned only when:

1. Rod personally sourced and personally closed the client.
2. The prospect was properly attributed to Rod in 1APP before the first sales meeting.
3. The opportunity record, approved quote, and sales-to-fulfillment handoff are complete.
4. 1APP received and cleared the applicable approved setup-fee payment.
5. The sale complies with approved pricing, scope, claims, and conduct rules.
6. The payment cleared during Rod's Commission Eligibility Period.

Setup Commission Earned Date: the date on which all applicable conditions above have been satisfied and the applicable setup-fee payment or installment has cleared.

The **personal recurring commission or direct-team override** is earned for a particular client and month only when:

1. Rod personally sourced and personally closed the client, or the client qualifies for the direct-team override under Section 2.
2. The prospect was properly attributed in 1APP before the first sales meeting.
3. The opportunity record and sales-to-fulfillment handoff are complete.
4. The client approved the quote and completed the 14-day trial.
5. The client authorized paid continuation.
6. 1APP received and cleared the applicable recurring client payment.
7. The sale complies with approved pricing, scope, claims, and conduct rules.

Initial Recurring Commission Earned Date: the date on which all applicable recurring conditions above have been satisfied, including completion of the 14-day trial and clearance of the first required recurring client payment during Rod's Commission Eligibility Period. Each later monthly recurring commission or override is earned only after that month's recurring payment clears during that period.

No commission is earned merely because a quote is sent, a trial begins, a verbal yes is given, a client agrees to continue but has not paid, or an invoice is issued.

4. Commission calculation

- Rod's personal setup-fee commission is calculated at 10% of net collected setup fees from qualifying personally sourced and closed clients.
- Rod's personal recurring commission is calculated at 10% of net collected monthly recurring service revenue from qualifying personally sourced and closed paid-active clients.
- Rod's direct-team override is calculated at 5% of net collected monthly recurring service revenue from qualifying clients closed by eligible direct recruits; setup fees are excluded from the override.
- Earned commission and override amounts are paid on the next available **1st or 15th** after the Company completes a minimum five-business-day reconciliation period. Amounts that miss the reconciliation cutoff roll automatically to the following pay date.
- If a scheduled pay date is not a banking or payroll business day, payment is made on the Company's next lawful payroll business day.
- Each payment statement must identify the client, credited seller or recruit, cleared setup-fee base, cleared recurring-revenue base, applicable rate, adjustments, and net amount paid.
- Refunded or charged-back revenue may be reversed only as permitted by the final agreement and applicable law.
- Split-credit deals require written approval before close.
- No hidden or off-system leads qualify.
- Owner direction is that Rod's one-time 10% setup-fee commission and separate 10% personal recurring commission both start with client 1, but all personal commission and the 5% direct-team override are earned only on qualifying revenue received during Rod's Commission Eligibility Period. No commission vests for lifetime or survives employment as a right to future commission. Amounts already earned remain payable. Ontario counsel must draft and approve the eligibility end date, statutory notice-period treatment, payment records, lawful set-off, refunds, credits, chargebacks, and termination treatment before signature.

5. Three-month fixed-term minimum performance standard

Measured from the Effective Date through the Fixed-Term End Date:

A. Client target

20 Team Production Net-New Paid-Active Clients.

This target may be satisfied by any combination of clients personally sourced and closed by Rod Norville and qualifying clients personally sourced and closed by eligible sales associates whom Rod directly recruited and manages. Each client counts once only. Owner sales, sales by people outside Rod's direct eligible team, and unassigned house accounts do not count unless a written amendment approves that attribution before production credit is granted.

A client counts only when all of the following are true:

1. The client was not an active 1APP client before the Effective Date.

2. A valid quote and trial scope were accepted in writing.
3. The agreed automation was launched and the 14-day trial was completed.
4. Paid continuation was authorized.
5. The first required payment cleared.
6. The opportunity is recorded as **Won — Paid Active** with valid attribution.
7. Rod Norville or an eligible direct recruit is recorded as the original source owner and primary closer, supported by the activity, meeting, quote, and follow-up history in 1APP. The direct recruit must have been active, certified, in good standing, and assigned to Rod's direct team when the client was sourced and closed.

Trials, unpaid invoices, duplicate accounts, test accounts, refunded accounts, and owner-house accounts do not count.

B. Recruitment target

20 Active Certified Sales Associates.

A recruit counts only when all of the following are true:

1. The person signed the approved associate agreement.
2. Identity, payment, and required administrative information were completed.
3. Required 1APP training was completed.
4. The person passed product, conduct, CRM, discovery, and handoff certification.
5. The person passed the required computer, 1APP, and responsible-AI practical assessment.
6. The person has reliable access to an approved laptop or desktop computer, stable internet, a webcam or headset, and a multi-factor-authentication method.
7. 1APP approved the person to sell independently.
8. The person completed at least two consecutive weeks of required activity and has at least one qualified opportunity or attended demo recorded in 1APP.

Names on a list, unsigned applicants, inactive contacts, failed trainees, and duplicate recruits do not count.

C. Quality gates

Targets count only if the Sales Manager also maintains:

- 100% of deals recorded in 1APP.
- At least 95% of open opportunities with a valid next action and due date.
- Complete handoffs before fulfillment.
- No unauthorized discounts, guarantees, pricing, or promises.
- No serious privacy, security, consent, or brand violations.
- Weekly training and pipeline reviews completed.

6. End-of-term review and renegotiation

Before the Fixed-Term End Date, 1APP will review:

- Paid-active clients and collected revenue.
- Recruits who meet the Active Certified Sales Associate definition.
- Trial-to-paid conversion and client quality.
- Client cancellations, refunds, complaints, and handoff defects.
- Team activity, certification, and CRM hygiene.

- Leadership, culture, and compliance.

The parties may negotiate a renewal or replacement agreement covering duties, targets, commission, title, and support resources. There is no automatic renewal, and no verbal change or continuation is effective.

Day-45 target-fit review

At approximately Day 45, 1APP and Rod will review actual funnel performance together, including:

- **Quote-acceptance rate:** accepted valid quotes divided by valid quotes delivered, with both counts shown.
- **Trial-to-paid conversion rate:** Net-New Paid-Active Clients divided by eligible trials that completed the full 14-day period, with both counts shown.
- Personal and direct-team production credited to the 20-client target.
- Qualified pipeline coverage and expected trial completion dates.
- Recruiting, certification, sales capacity, fulfillment capacity, client quality, cancellations, refunds, and handoff defects.

The parties will confirm whether the 20-client target still fits the evidence and operating capacity. The review does not automatically reduce, increase, or waive the target. Any change must be recorded in a written amendment signed by 1APP and Rod.

7. Conditional Months 4–6 promotion eligibility

This section applies only if a signed renewal or replacement agreement expressly adopts it. Under that renewal, the Sales Manager becomes eligible for consideration for promotion to **Director of Sales** after producing **30 additional Team Production Net-New Paid-Active Clients during Days 91–180** through any combination of Rod's personal sales and qualifying sales by eligible associates on Rod's direct team, plus:

- At least 80% of initial-term paid clients remain active at Day 180, excluding documented business closures or owner-approved exceptions.
- At least 15 Active Certified Sales Associates remain active and in good standing.
- No serious conduct or compliance violation.
- Pipeline, forecast, training, and handoff standards remain current.
- Owners approve the promotion, new duties, compensation, authority, and title in a signed written amendment.

Hitting 30 clients creates **promotion eligibility, not an automatic promotion**. No promotion exists until the written amendment is signed.

Each client counts once only. Owner sales, sales by people outside Rod's direct eligible team, and unassigned house accounts do not count unless the owners approve a written amendment before production credit is granted.

8. Scorecard cadence

- **Daily:** activity, new opportunities, meetings, overdue follow-up.
- **Weekly:** funnel conversions, recruiting funnel, pipeline coverage, training, quality issues.
- **Twice monthly:** personal commission and direct-team override reconciliation for the 1st and 15th pay dates.
- **Monthly:** paid clients, recurring revenue, setup revenue, churn, and team output.
- **Day 45:** formal target-fit review using actual quote-acceptance and 14-day trial-to-paid results; confirm the target or sign a written amendment, then issue a corrective plan if below the confirmed trajectory.
- **Before the Fixed-Term End Date:** role, compensation, and renewal review.
- **Day 180:** promotion-eligibility review.